CRYPTO WITH CAVEATS

THE RECENTLY-CONCLUDED G20 SUMMIT PROPOSED REINING IN THE VIRTUAL INSANITY OF THE CRYPTOCURRENCY TRADE. THE TOUGH PART IS TO GET EVERYONE TO AGREE ON THE FINAL GUIDELINES AND IMPLEMENTING THEM ACROSS GEOGRAPHIES

BY M.G. ARUN / *Illustration by* NILANJAN DAS

They are not backed by any underlying assets and evidently have no value beyond the virtual realms, but cryptocurrencies have vexed policymakers and the world's central bankers alike over the past few years. With the collapse of a few prominent crypto exchanges in the past year, resulting in heavy losses for investors, the clamour for a tighter regulation of cryptocurrencies, if not a total ban, has grown louder in recent years. The issue was taken up seriously at the recently-concluded G20 summit, held under India's presidency in New Delhi, where some of the world's largest economies came together to agree on the contours of a broad set of regulations that could be put in place as early as October this year.

Industry estimates say there could be as many as 420 million crypto investors worldwide. The G20 leaders' declaration incorporates recommendations from the Financial Stability Board (FSB), which covers the "regulation, supervision and oversight of crypto-assets activities and markets and global stablecoin arrangements". Stablecoins are cryptocurrencies whose value is pegged, or tied, to that of another currency, commodity, or financial instrument. According to the FSB guidelines, as reported in the media, stablecoins must adhere to the same regulations as traditional banks.

CLAMOUR FOR REGULATION

Until a year ago, cryptocurrencies were one of the most-talked-about instruments in the financial and investment world. They became a rage among the young, who went online to dabble in 9,000-odd different cryptocurrencies listed on some of the major crypto exchanges, although the actual number in circulation will be much higher. Most countries were averse to allowing cryptos to be used as legal tender to settle transactions, but they allowed their use as an asset class or a tool for investment. The buzz around cryptos was so strong that their market capitalisation zoomed to $2.83 trillion (around Rs

9,000 CRYPTOS No. of digital currencies listed on some major crypto exchanges

115 MILLION Estimated number of investors in cryptocurrencies in India

40 EXCHANGES Crypto trading platforms in India